Financial Markets & Products

Understand how capital moves through financial markets and how equities, bonds, derivatives and FX products are issued, traded, priced and settled.

1. What is a financial system?

ANSWER

A financial system is the network of institutions, markets, instruments, infrastructure and rules through which savings are transferred to borrowers and investors. It enables capital formation, payments, risk transfer and price discovery.

EXAMPLE

A household deposits money in a bank; the bank lends to a company, while the company may also raise funds by issuing bonds or shares.

2. What is the difference between a money market and a capital market?

ANSWER

Money markets deal mainly in short-term instruments, usually up to one year, while capital markets deal in longer-term debt and equity instruments.

EXAMPLE

Treasury bills are money-market instruments; corporate bonds and shares are capital-market instruments.

3. What is the primary market?

ANSWER

The primary market is where new securities are issued and sold to investors for the first time, allowing the issuer to raise fresh capital.

EXAMPLE

A company launching an IPO issues new shares to investors in the primary market.

4. What is the secondary market?

ANSWER

The secondary market is where existing securities are traded between investors after issuance. The issuer normally does not receive the sale proceeds.

EXAMPLE

An investor buying listed shares on a stock exchange is transacting in the secondary market.

5. What is market liquidity?

ANSWER

Liquidity is the ability to buy or sell an asset quickly with limited price impact. Higher liquidity generally means tighter bid-ask spreads and easier execution.

EXAMPLE

A heavily traded large-cap stock can usually be sold faster than a thinly traded small-cap security.

6. Who are financial market intermediaries?

ANSWER

They are institutions that facilitate the movement of funds and securities, such as banks, brokers, custodians, depositories, clearing houses, asset managers and investment banks.

EXAMPLE

A broker executes the trade, a clearing house manages clearing obligations, and a custodian safekeeps the securities.

7. What is the role of an investment bank in capital markets?

ANSWER

Investment banks help issuers raise capital, structure securities, underwrite offerings, advise on transactions and facilitate institutional trading.

EXAMPLE

In an IPO, the investment bank may help price the issue, market it to investors and coordinate the issuance process.

8. How do interest rates affect financial markets?

ANSWER

Interest rates influence borrowing costs, discount rates, bond prices, currency values and equity valuations. Rising rates typically pressure existing fixed-rate bond prices.

EXAMPLE

If market yields rise from 5% to 7%, a previously issued 5% coupon bond becomes less attractive and its price tends to fall.

9. How does inflation affect securities?

ANSWER

Inflation reduces purchasing power and can cause central banks to raise interest rates. It may reduce real bond returns and affect company costs and equity valuations.

EXAMPLE

A fixed coupon of 4% is less attractive if inflation rises to 6% because the real return becomes negative.

10. What is price discovery?

ANSWER

Price discovery is the market process through which buyers and sellers determine the fair trading price of an asset using available information and supply-demand conditions.

EXAMPLE

Unexpected earnings news can cause orders to shift rapidly until a new equilibrium share price is established.

11. What is equity?

ANSWER

Equity represents ownership in a company. Equity holders generally participate in residual profits and bear residual risk after creditors are paid.

EXAMPLE

Owning 100 shares of a listed company gives the investor a proportional ownership interest.

12. What is the difference between common and preference shares?

ANSWER

Common shares generally carry voting rights and variable dividends. Preference shares usually have priority over common shares for dividends and liquidation proceeds, but may have limited voting rights.

EXAMPLE

If a company declares preference dividends first, common shareholders receive distributions only after the preference obligation is met.

13. What is a depository receipt?

ANSWER

A depository receipt is a negotiable certificate representing shares of a foreign company, issued by a depositary bank to facilitate trading in another market.

EXAMPLE

An ADR allows US investors to trade an interest in a non-US company without directly trading the underlying foreign shares.

14. What is market capitalization?

ANSWER

Market capitalization is the market value of a company's outstanding equity, calculated as share price multiplied by shares outstanding.

EXAMPLE

If 10 million shares trade at 20, market capitalization is 200 million.

15. What is an IPO?

ANSWER

An Initial Public Offering is the first public sale of a company's shares, allowing it to access public capital markets.

EXAMPLE

A privately held company offers shares to institutional and retail investors and lists on a stock exchange.

16. What is the trade date and settlement date?

ANSWER

Trade date is when buyer and seller agree the transaction. Settlement date is when cash and securities are exchanged according to market convention.

EXAMPLE

If a market follows T+1, a trade executed Monday normally settles Tuesday, subject to holidays.

17. What is beneficial ownership?

ANSWER

Beneficial ownership refers to the person or entity that ultimately enjoys the economic benefits and rights of an asset, even if legal title is held by another party.

EXAMPLE

A custodian may hold shares in nominee name while the underlying investor remains the beneficial owner.

18. What is dividend yield?

ANSWER

Dividend yield measures annual dividends relative to the current share price. It is often expressed as annual dividend per share divided by market price per share.

EXAMPLE

If annual dividend is 4 and share price is 100, dividend yield is 4%.

19. What is dilution?

ANSWER

Dilution occurs when new shares are issued and an existing shareholder's percentage ownership or earnings per share decreases unless they participate proportionally.

EXAMPLE

A rights issue can protect existing holders from dilution if they exercise their rights.

20. What is free float?

ANSWER

Free float is the portion of a company's shares available for public trading, excluding strategic or locked-in holdings.

EXAMPLE

Promoter-held shares may not count toward free float if they are not normally available for trading.

21. What is a bond?

ANSWER

A bond is a debt security under which an issuer borrows money from investors and promises contractual payments such as coupons and repayment of principal.

EXAMPLE

A company issues a 5-year bond with a 6% annual coupon and repays face value at maturity.

22. What are the main characteristics of a bond?

ANSWER

Key characteristics include issuer, face value, coupon rate, coupon frequency, issue date, maturity date, currency, seniority, security and embedded options.

EXAMPLE

A 1,000 face-value, 5-year, 7% semiannual corporate bond pays 35 every six months.

23. What is the difference between clean price and dirty price?

ANSWER

Clean price excludes accrued interest. Dirty price is the total settlement price, usually clean price plus accrued interest.

EXAMPLE

If clean price is 101.20 and accrued interest is 1.30, dirty price is 102.50.

24. What is accrued interest?

ANSWER

Accrued interest is the coupon interest earned from the previous coupon date up to the settlement date. The buyer compensates the seller for this earned amount.

EXAMPLE

If half of a coupon period has passed, roughly half of the coupon may be accrued, subject to day-count convention.

25. What is current yield?

ANSWER

Current yield is annual coupon income divided by the bond's current market price. It does not capture capital gain/loss to maturity.

EXAMPLE

A bond paying 60 annually and trading at 1,200 has a current yield of 5%.

26. What is Yield to Maturity?

ANSWER

YTM is the discount rate that equates the present value of remaining contractual cash flows with the bond's current market price, assuming payments occur and the bond is held to maturity.

EXAMPLE

A bond purchased below par can have a YTM above its coupon rate because the investor may also earn a capital gain at maturity.

27. What is Yield to Call?

ANSWER

YTC estimates the return assuming a callable bond is redeemed on a specified call date at the call price rather than held to final maturity.

EXAMPLE

If a bond can be called after three years, YTC helps an investor assess the return if the issuer exercises that option.

28. Why do bond prices usually move inversely to yields?

ANSWER

Existing fixed cash flows become less valuable when market yields rise and more valuable when market yields fall, so price adjusts in the opposite direction.

EXAMPLE

A 4% coupon bond falls in price if comparable new bonds yield 6%.

29. What is securitisation?

ANSWER

Securitisation pools financial assets and transforms their cash flows into marketable securities, often through a special-purpose vehicle.

EXAMPLE

A pool of mortgage loans can be transferred to an SPV that issues mortgage-backed securities.

30. What is an ABS?

ANSWER

An Asset-Backed Security is backed by a pool of receivables such as auto loans, credit-card receivables or other non-mortgage assets.

EXAMPLE

Monthly auto-loan repayments support the cash flows paid to ABS investors.

31. What is an MBS?

ANSWER

A Mortgage-Backed Security is backed by a pool of residential or commercial mortgage loans.

EXAMPLE

Home-loan principal and interest payments are passed through or structured to MBS investors.

32. What is a CDO?

ANSWER

A Collateralized Debt Obligation is a structured product backed by a pool of debt exposures and divided into tranches with different risk-return characteristics.

EXAMPLE

Senior tranches absorb losses after junior tranches, so they generally have lower credit risk than equity tranches.

33. What is a derivative?

ANSWER

A derivative is a contract whose value depends on an underlying asset, rate, index, currency or credit event. It can be used for hedging, speculation or arbitrage.

EXAMPLE

An airline may use fuel derivatives to hedge future fuel-price risk.

34. What is the difference between OTC and exchange-traded derivatives?

ANSWER

OTC derivatives are privately negotiated and customizable but carry bilateral counterparty exposure. Exchange-traded derivatives are standardized and cleared through an exchange/clearing house.

EXAMPLE

A customized interest-rate swap is typically OTC, while an index future is exchange-traded.

35. What is a forward contract?

ANSWER

A forward is an agreement to buy or sell an underlying asset at a specified price on a future date. It is usually OTC.

EXAMPLE

An importer agrees today to buy USD 1 million in three months at a fixed FX rate.

36. What is a futures contract?

ANSWER

A futures contract is a standardized exchange-traded agreement for future purchase or sale of an underlying. It is marked to market and supported by margin.

EXAMPLE

An investor buys an index future and posts initial margin with the clearing broker.

37. What is initial margin?

ANSWER

Initial margin is collateral required to open or maintain a derivatives position as protection against potential future losses.

EXAMPLE

A futures position may require 10% initial margin relative to contract exposure.

38. What is variation margin?

ANSWER

Variation margin is the cash or collateral exchanged to reflect daily or periodic mark-to-market gains and losses.

EXAMPLE

If a futures position loses 5,000 after daily marking, the holder may need to pay 5,000 variation margin.

39. What is a call option?

ANSWER

A call option gives the buyer the right, but not the obligation, to buy the underlying at the strike price before or at expiry, depending on option style.

EXAMPLE

A call with strike 100 becomes economically valuable when the underlying rises well above 100.

40. What is a put option?

ANSWER

A put option gives the buyer the right, but not the obligation, to sell the underlying at the strike price.

EXAMPLE

An investor holding shares may buy puts to limit downside below a chosen price.

41. What is option premium?

ANSWER

Option premium is the price paid by the buyer to the seller for the option rights. It reflects intrinsic value, time value, volatility and other factors.

EXAMPLE

A buyer pays a premium of 3 per share for a call option contract.

42. What is an Interest Rate Swap?

ANSWER

An IRS is an OTC contract in which parties exchange interest-payment streams, commonly fixed versus floating, on a notional amount.

EXAMPLE

A borrower with floating-rate debt may pay fixed and receive floating under a swap to stabilize financing cost.

43. What is a Total Return Swap?

ANSWER

A TRS transfers the total economic return of a reference asset, including income and price change, in exchange for a financing leg.

EXAMPLE

One party receives the return of an equity index while paying a floating rate plus spread.

44. What is a Credit Default Swap?

ANSWER

A CDS transfers credit risk. The protection buyer pays periodic premium and the seller compensates the buyer if a defined credit event occurs.

EXAMPLE

A bank buys CDS protection on a corporate borrower to hedge default risk.

45. What is an FX spot transaction?

ANSWER

An FX spot transaction exchanges two currencies at an agreed rate for near-term settlement according to market convention.

EXAMPLE

A company buys EUR and sells USD for settlement in the standard spot cycle.

46. What is an NDF?

ANSWER

A Non-Deliverable Forward is an FX forward where the difference between the agreed rate and a fixing rate is cash-settled, usually in a freely convertible currency, instead of delivering the restricted currency.

EXAMPLE

A firm hedges exposure to a restricted currency and settles only the USD difference at maturity.

47. What is an FX swap?

ANSWER

An FX swap combines a spot exchange of two currencies with a reverse exchange at a later date at a pre-agreed forward rate.

EXAMPLE

A bank obtains USD liquidity for one month by exchanging EUR for USD spot and reversing the trade one month later.